

SEARCH FRICTIONS AND WELFARE IN A MARKET FOR PROMINENCE: THEORY AND EXPERIMENT

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(ABSTRACT)

In online marketplaces, sellers pay platforms to make their products more visible and easier to inspect, creating a market for search prominence. I study how search friction affects the level and distribution of surplus in this market. In my model, two *ex-ante* identical sellers bid for a prominent position in a second-price auction and then simultaneously post prices. The consumer observes both prices and learns her match value for the prominent seller's product for free before deciding whether to incur a search cost to inspect the second seller's product. I derive equilibrium bids, price distributions, and search cutoffs, and test these predictions in a laboratory experiment with low and high search costs. Platform auction revenue changes little as search cost rises, despite the predicted increase. Total and consumer surplus decrease with search cost, but consumer surplus falls proportionally much less than predicted. At both search costs, consumer surplus exceeds equilibrium benchmarks, whereas sellers jointly receive only about a fifth of total surplus after paying for prominence. Further analysis of bidding, pricing, and search behavior helps explain these findings.

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